CIA Part 2 – Next 100 Hard Questions

Engagement Planning, Information Gathering/Analysis/Evaluation, Supervision and Communication (with IT, cyber and AI focus)

Study Deck

October 17, 2026

Format and blueprint

100 questions, one per slide; the explanation follows each question (why correct, why the others are wrong).

Aligned to the three-section Part 2 structure (Internal Audit Engagement, May 2025 syllabus): Engagement Planning (50), Information Gathering, Analysis and Evaluation (40), Engagement Supervision and Communication (10). Confirm weights on the IIA syllabus page before you sit the exam.

Terminology follows the Global Internal Audit Standards (Domain V: Principles 13–15, plus oversight of engagement performance) and the Topical Requirements.

Many items are technical: ITGC, SOC reports, cloud shared responsibility, privacy, resilience, data analytics, continuous monitoring, AI.

Topics are seeded from your part5all–part7all files (engagement planning, evidence, workpapers, testing, supervision, communication), rewritten as harder scenario items using current Standards wording. Final-report, residual-risk and follow-up items are left out because they sit mainly in Part 3.

Question: A business unit head asks internal audit to "review the new vendor portal" and wants fieldwork to begin Monday. No objectives or scope have been agreed. What should the auditor do FIRST?

A. Reuse the scope of last year's portal review so the work can start on time.

B. Start walkthroughs on Monday and let the objectives emerge from what is observed.

C. Meet the engagement client and stakeholders to turn the request into documented objectives, scope, and criteria before committing to procedures.

D. Draft the work program from a standard IT checklist and ask the client to approve it.

Q1 – Explanation

Correct: C. Objectives, scope, and criteria drive every later planning step, including the risk assessment and work program.

A wrong: Last year's scope may not reflect current risks or changes to the portal.

B wrong: Procedures without agreed objectives invite scope drift and unfocused evidence.

D wrong: Procedures chosen before objectives are set cannot be tied to what the engagement must conclude on.

Question: During fieldwork on accounts payable, the team finds that a related supplier-onboarding process carries higher risk than anything in the approved scope. What is the BEST response?

A. Assess whether expanding scope is warranted, obtain the required approval, and update the work program, resources, and documentation.

B. Quietly extend testing to onboarding to avoid delaying the engagement.

C. Cancel the engagement and restart planning from scratch.

D. Leave onboarding out because it is outside the approved scope.

Q2 – Explanation

Correct: A. Scope changes are legitimate when risk warrants them, but they must be approved and reflected in the plan.

B wrong: Unapproved scope changes undermine supervision, agreed communication, and resource planning.

C wrong: Restarting is disproportionate; a controlled scope change is sufficient.

D wrong: Ignoring a known higher risk leaves stakeholders with a false sense of coverage.

Question: An auditor is planning an engagement on a new customer-data sharing process for which the organization has no written policy. Which approach to evaluation criteria is BEST?

A. Treat the process owner's current practice as the criterion.

B. Defer the choice of criteria until findings are being drafted.

C. Use the auditor's own view of good practice without discussing it with anyone.

D. Identify suitable criteria from applicable laws, regulations, and recognized frameworks, and agree them with management where possible.

Q3 – Explanation

Correct: D. Criteria must be relevant, authoritative enough to defend findings, and identified before evaluation begins.

A wrong: Using the current practice as the standard is circular; no gap could ever be found.

B wrong: Without criteria, there is nothing to measure the condition against during fieldwork.

C wrong: Unilateral personal criteria are hard to defend and invite disputes over findings.

Part 2, Set 1

Question: Management asks that a high-risk contract-management area be excluded from an engagement that has already been scoped to include it. The auditor believes the exclusion is not justified. What is the MOST appropriate action?

A. Withdraw from the engagement immediately without telling anyone.

B. Accept the exclusion and issue a conclusion covering the whole process.

C. Escalate to the supervisor and CAE so the limitation is discussed with management and, if unresolved, communicated to the board; document the effect on conclusions.

D. Cover the area through management inquiry alone and conclude as originally planned.

Q4 – Explanation

Correct: C. A scope limitation that affects the ability to conclude must be escalated and its effect on the conclusion made visible.

A wrong: Unilateral withdrawal bypasses the escalation path and leaves the limitation unresolved.

B wrong: A conclusion that covers an excluded area overstates assurance.

D wrong: Inquiry alone is not an adequate substitute for the planned procedures.

Part 2, Set 1

Question: Which statement is an engagement EVALUATION CRITERION, as opposed to an objective, a scope item, or a procedure?

A. Select 60 payroll master-data changes and inspect approval evidence.

B. Payroll processing at the Ohio and Texas centers, July through December.

C. Payroll master-data changes require independent approval under the HR control standard.

D. Assess whether payroll master-data changes are appropriately approved.

Q5 – Explanation

Correct: C. A criterion is the benchmark that defines what "should be" and against which the condition is evaluated.

A wrong: This is a procedure in the work program.

B wrong: This is scope: it sets boundaries in locations and period.

D wrong: This is an objective: it states what the engagement intends to determine.

Question: A company's 14 regional finance teams run differently configured instances of the same ERP. How should this structure affect the engagement risk assessment?

A. Test headquarters only and extend the conclusion to every region.

B. Assume central policies operate uniformly across regions.

C. Reduce testing because regional teams will self-correct.

D. Assess risk at each significant location, considering differences in control design, and avoid extending one region's results to all.

Q6 – Explanation

Correct: D. Decentralized structures increase the risk of inconsistent control operation, so risk is assessed where the work is done.

A wrong: Extrapolating from one location ignores configuration and operating differences.

B wrong: Uniform operation is an assumption that must be tested, not presumed.

C wrong: Self-correction is not evidence; it is a hope that needs to be verified.

Question: In pre-engagement interviews, several managers say targets are met "whatever it takes," and a few mention being asked to adjust figures. How should planning respond?

A. Treat culture as outside the engagement-level risk assessment.

B. Raise the assessed risk of manipulation and management override, and design less predictable procedures with less reliance on inquiry and self-assessment.

C. Reduce sample sizes because pressure tends to improve control discipline.

D. Rely more on management representations because leadership clearly cares about results.

Q7 – Explanation

Correct: B. Tone and behaviors affect the likelihood that controls are bypassed, so they belong in the engagement risk assessment.

A wrong: Culture directly influences fraud and override risk and cannot be excluded.

C wrong: Pressure increases, rather than reduces, the incentive to bypass controls.

D wrong: Representations from a pressured management team are the weakest basis for reliance.

Part 2, Set 1

Question: The team plans to audit a digital transformation using two-week sprints. Which planning decision BEST keeps the agile approach within the Standards?

A. Replace the engagement risk assessment with the sprint backlog.

B. Waive supervisory review for sprints shorter than a month.

C. Complete the documentation after the final sprint to preserve momentum.

D. Define objectives, minimum documentation, and supervisory review points for each sprint so evidence and oversight requirements are still met.

Q8 – Explanation

Correct: D. Agile changes how work is delivered, not the requirements for risk-based planning, evidence, and supervision.

A wrong: A backlog prioritizes tasks; it does not assess risk.

B wrong: Supervision is not scaled away by sprint length.

C wrong: Deferred documentation weakens evidence and review during the work itself.

Question: Auditors will review a shared-services center on another continent entirely remotely. Which planning consideration is MOST important?

A. Drop walkthroughs because the work is remote.

B. Plan alternatives to direct observation, such as live walkthroughs and data pulled directly from systems, and address data security and time-zone constraints.

C. Treat scanned documents e-mailed by the process owner as equally reliable as direct system extracts.

D. Keep the on-site work program unchanged.

Q9 – Explanation

Correct: B. Remote work changes the reliability of evidence and the means of obtaining it, so the program must be adapted.

A wrong: Walkthroughs remain key to understanding design and can be done by video and screen share.

C wrong: Documents selected and sent by the auditee are less reliable than evidence obtained directly.

D wrong: An unchanged program ignores the effect of remote conditions on evidence.

Part 2, Set 1

Question: A financial, operational, and IT team is combined in one integrated engagement. What is the key planning requirement?

A. Run separate work programs and merge conclusions at the end without reconciling them.

B. Coordinate objectives, scope, and resources across disciplines so process and supporting-system risks are assessed together.

C. Limit scope to risks that all disciplines have in common.

D. Assign all work to the most senior discipline.

Q10 – Explanation

Correct: B. The value of an integrated approach is a single, coherent view of process and technology risk, which requires joint planning.

A wrong: Unreconciled programs create gaps, overlaps, and conflicting conclusions.

C wrong: Restricting scope to common risks omits the specialized risks that integration should surface.

D wrong: Seniority does not ensure coverage of each discipline's risks.

Part 2, Set 1

Question: An engagement requires analysis of 5 million transactions, but only one auditor has analytics skills and is on leave for part of fieldwork. What is the BEST approach?

A. Proceed as planned and mention the limitation only in the final report.

B. Assign the analytics to a junior auditor without specific review.

C. Evaluate options such as training, a specialist or co-source, or a revised approach, and discuss the resource limitation and its implications with the supervisor.

D. Proceed with a 25-item manual sample and conclude on the full population.

Q11 – Explanation

Correct: C. Resources must match the engagement's needs, and limitations are surfaced and managed during planning.

A wrong: Waiting until the end deprives stakeholders of the chance to adjust scope or resources.

B wrong: Unreviewed work by an inexperienced auditor on a key procedure is a quality risk.

D wrong: A small manual sample cannot support a conclusion on 5 million items.

Part 2, Set 1

Question: An engagement on a cloud migration is assigned to a team with no cloud experience. Which action BEST addresses proficiency?

A. Perform the engagement and note the skills gap in the report.

B. Arrange training, co-sourcing, or specialist support before relevant work starts, with supervision matched to the team's skills.

C. Ask the cloud vendor's staff to perform the technical tests.

D. Proceed on management's explanations of how the cloud is configured.

Q12 – Explanation

Correct: B. Resources must collectively have the competencies needed; gaps are closed before the work, not disclosed after.

A wrong: Disclosing a gap afterwards does not cure unreliable work.

C wrong: Using the vendor's staff to test the vendor's environment impairs independence and reliability.

D wrong: Explanations are not evidence and do not build auditor competence.

Part 2, Set 1

Question: Which characteristic BEST shows that an engagement work program is adequate?

A. Procedures are linked to each objective and risk, specify expected evidence and sampling approach, and are approved before fieldwork and updated with documented reasons.

B. It repeats last year's steps for consistency.

C. It is deliberately broad so auditors can act on judgment without documenting changes.

D. It is finalized after fieldwork so it matches what was done.

Q13 – Explanation

Correct: A. A work program ties procedures to objectives and risks and is controlled through approval and documented change.

B wrong: Repeating prior steps does not respond to current risk or change.

C wrong: Undocumented discretion prevents supervision and reperformance.

D wrong: A program written after the work is a record of activity, not a plan.

Part 2, Set 1

Question: Before fieldwork begins, which information should the auditor communicate to the engagement client?

A. Preliminary conclusions formed from the risk assessment.

B. The planned performance appraisal criteria for audit staff.

C. The exact items that will be sampled in each test.

D. The engagement's objectives, scope, timing, and what the client is expected to provide, such as access to people and data.

Q14 – Explanation

Correct: D. Planning communication sets shared expectations about objectives, scope, timing, and cooperation.

A wrong: Conclusions cannot be formed before evidence is gathered.

B wrong: Internal staff evaluation criteria are not part of engagement communication.

C wrong: Advance notice of samples allows evidence to be altered or prepared.

Question: An auditor managed the vendor-onboarding process until eight months ago and is now assigned to audit it. What is the MOST appropriate action?

A. Disclose the prior responsibility to the supervisor; the auditor should not provide assurance on that process, so assignments are changed.

B. Proceed but document a statement that objectivity was maintained.

C. Audit only the sections the auditor did not personally perform.

D. Proceed, since cooling-off rules apply only to the CAE.

Q15 – Explanation

Correct: A. Objectivity is presumed to be impaired when assurance covers an activity the auditor was responsible for within the prior 12 months.

B wrong: A self-declaration does not remove a presumed impairment.

C wrong: Partial exclusion does not address the self-review threat to the process as a whole.

D wrong: The safeguard applies to internal auditors generally, not just the CAE.

Part 2, Set 1

Question: Planning to rely on a cloud payroll provider's SOC 2 Type II report, what should the auditor do FIRST?

A. Treat a Type I report as evidence that controls operated effectively over the year.

B. Rely on it once the provider's management confirms it is accurate.

C. Evaluate the report's scope, period, service auditor competence and objectivity, relevant controls, exceptions, and the user-entity controls the organization must operate.

D. Rely on it automatically because the opinion is unqualified.

Q16 – Explanation

Correct: C. Reliance on another party's work requires judging whether it covers the relevant controls and period and what remains the user's responsibility.

A wrong: A Type I report addresses design at a point in time, not operating effectiveness.

B wrong: Management's confirmation is not an independent evaluation of the report.

D wrong: An unqualified opinion on irrelevant controls or a different period adds little.

Part 2, Set 1

Question: An engagement will assess cybersecurity governance. How should the applicable Topical Requirement be treated?

A. Drop the requirement if the process owner calls the area operational.

B. Treat it as optional supplemental guidance.

C. Apply it only to engagements labeled as IT audits.

D. Apply it as a minimum baseline for governance, risk management, and control, excluding an individual element only with documented rationale.

Q17 – Explanation

Correct: D. Topical Requirements are mandatory where they apply to the subject of an assurance engagement.

A wrong: Applicability turns on the subject matter, not on how the owner labels the area.

B wrong: They are part of the mandatory elements of the framework, not optional guidance.

C wrong: Applicability is not limited to engagements with an IT label.

Part 2, Set 1

Question: Before relying on an automated three-way match in an accounts payable engagement, what should the auditor do?

A. Review the IT budget for the application.

B. Obtain assurance that general IT controls over the application, such as access, change management, and operations, are effective, then test the match configuration.

C. Interview the developer about how the match was designed.

D. Run a few invoices through the system and conclude if they match.

Q18 – Explanation

Correct: B. Automated controls are only as reliable as the IT environment that protects them from unauthorized change.

A wrong: Budgets say nothing about control reliability.

C wrong: Interviews give design information but not evidence of effective operation.

D wrong: A few passing items do not show the control is protected and consistently applied.

Question: Which objective BEST addresses resilience in an engagement on disaster recovery for payment processing?

A. Determine whether a disaster recovery policy exists and has been approved.

B. Determine whether the data center has redundant power.

C. Determine whether tested recovery capabilities meet the recovery time and recovery point objectives derived from the business impact analysis.

D. Determine whether backups run on a daily schedule.

Q19 – Explanation

Correct: C. The meaningful question is whether the organization can actually recover within what the business requires.

A wrong: A policy shows intent, not capability.

B wrong: Redundant power is one component and does not demonstrate recovery.

D wrong: Backup schedules do not show data can be restored within required time.

Question: An engagement will review customer data sharing with third-party processors under privacy law. Which planning element is MOST important?

A. Defer data mapping until fieldwork is complete.

B. Rely on the legal department's assertion of compliance.

C. Identify the applicable legal obligations as criteria and map the data flows and processors to define scope.

D. Limit scope to IT security controls on internally owned systems.

Q20 – Explanation

Correct: C. Criteria come from legal duties, and scope must follow where personal data actually goes, including to third parties.

A wrong: Without mapping, scope cannot be set responsibly.

B wrong: An assertion is not evidence and does not define criteria or scope.

D wrong: Privacy compliance extends beyond security, and processors hold the data off-system.

Part 2, Set 1

Question: Planning analytics show days sales outstanding up 30% while revenue is up 12% and returns have fallen. What is the MOST reasonable planning response?

A. Conclude there is no risk because revenue is growing.

B. Treat it as an indicator of possible revenue-recognition, cutoff, or collectability issues and add targeted procedures.

C. Conclude collections have improved.

D. Treat it as an accounts payable issue.

Q21 – Explanation

Correct: B. Receivables growing faster than sales is a classic indicator that revenue timing or valuation may be misstated.

A wrong: Growing revenue can be exactly the setting for aggressive recognition.

C wrong: Rising days outstanding indicates slower, not faster, collection.

D wrong: Receivables relate to customers, not payables.

Part 2, Set 1

Question: In planning a vendor master-file engagement, which objective is MOST appropriate?

A. Evaluate the storage cost of the vendor database.

B. Evaluate whether controls prevent and detect unauthorized creation or change of vendors that could enable fictitious or duplicate payments.

C. Evaluate whether vendor names follow a consistent naming format.

D. Evaluate how many vendors are held in the master file.

Q22 – Explanation

Correct: B. Objectives should address the risks that matter, here payment fraud and error through master data.

A wrong: Storage cost is an efficiency matter, not a control risk.

C wrong: Formatting matters for hygiene, but it is not the key risk.

D wrong: Volume alone does not indicate control failure.

Question: Which approach to prioritizing risks and controls in an engagement risk assessment is BEST?

A. Rank areas by the number of findings in last year's report only.

B. Rank areas by how familiar the auditors are with them.

C. Rank controls by how cheap they are to test.

D. Rate inherent risk by impact and likelihood, identify key controls that mitigate it, and decide reliance based on design and testing.

Q23 – Explanation

Correct: D. A risk-based approach links risk, mitigating controls, and the extent of testing.

A wrong: Prior findings are one input, not a complete picture of current risk.

B wrong: Familiarity is a convenience, not a risk measure.

C wrong: Cost of testing may affect method but should not set priority of risk.

Part 2, Set 1

Question: A company has just launched a generative AI chatbot to handle customer claims. What is the BEST way to approach engagement risk assessment?

A. Identify AI-specific risks, such as accuracy, bias, privacy, third-party model dependence, and human oversight, and link them to objectives and criteria such as the organization's AI governance policy.

B. Rely on the vendor's published model documentation.

C. Treat it as an ordinary application and limit scope to general IT controls.

D. Wait until regulators finalize AI rules before planning.

Q24 – Explanation

Correct: A. New technology changes the risk profile, so planning must reflect the specific risks it introduces.

B wrong: Vendor documentation is the vendor's assertion and not independent assurance.

C wrong: General IT controls do not cover model behavior or outcomes.

D wrong: Governance, risk, and control exist now, and delay leaves exposure unexamined.

Question: A hotline tip says managers at one branch approve their own expense claims. How should this affect planning of an expense engagement?

A. Raise the assessed fraud and override risk and design procedures such as analytics on self-approvals and unannounced testing.

B. Ask the branch manager to explain before deciding on any testing.

C. Refer it to another team and leave the branch out of the engagement.

D. Limit testing to low-value claims.

Q25 – Explanation

Correct: A. Planning must consider the probability of fraud and noncompliance and shape procedures accordingly.

B wrong: Tipping off the implicated manager risks evidence being altered.

C wrong: Referral may be proper for investigation but does not remove the planning obligation for this engagement.

D wrong: Low-value testing ignores where abuse is likely to concentrate.

Part 2, Set 1

Question: After planning is complete, an engagement's budget is cut by 30%. What is the BEST response?

A. Keep the work program and shorten supervision instead.

B. Keep scope and reduce every sample uniformly without telling anyone.

C. Reassess risk-based priorities, adjust scope or procedures with approval, and document the effect on the level of assurance.

D. Omit documentation to save time.

Q26 – Explanation

Correct: C. Resource constraints require a conscious, approved trade-off that stakeholders can understand.

A wrong: Cutting supervision lowers quality while the effect stays invisible.

B wrong: Hidden reductions leave stakeholders believing assurance is unchanged.

D wrong: Documentation is required to support conclusions.

Question: Purchasing-card analytics show 3% of transactions sit just below the approval threshold. How should this be used in planning?

A. Ignore it and sample uniformly across all transactions.

B. Notify cardholders so they can correct their behavior.

C. Target the work program on threshold avoidance, including split purchases, and select items from the flagged group.

D. Conclude the approval control is effective.

Q27 – Explanation

Correct: C. Analytics results that point to a specific risk should shape scope and procedures.

A wrong: Uniform sampling dilutes attention on where the risk is concentrated.

B wrong: Pre-notification would undermine the evidence and any later investigation.

D wrong: Clustering below a threshold suggests the control is being circumvented.

Question: The objective is to estimate the percentage of paid invoices in error across the entire population with measurable confidence. Which sampling approach is BEST?

A. A judgmental sample of the 40 largest invoices.

B. The first 30 invoices of each month.

C. A stratified sample of high-value invoices only.

D. Statistical random sampling sized for the desired confidence and tolerable error.

Q28 – Explanation

Correct: D. Quantified conclusions about a population require a sample whose results can be projected statistically.

A wrong: Judgmental selections cannot be projected to the population.

B wrong: A non-random selection is biased and cannot support a measured estimate.

C wrong: Sampling only high-value items restricts conclusions to that stratum.

Part 2, Set 1

Question: The auditor lowers the tolerable deviation rate for a key control test. What is the effect on sample size, other factors unchanged?

A. The sample size depends only on population size.

B. The required sample size decreases.

C. The required sample size increases.

D. The sample size is unchanged.

Q29 – Explanation

Correct: C. A tighter tolerance requires more evidence to be confident that deviations are below the threshold.

A wrong: Population size has a limited effect compared with tolerance, risk, and confidence.

B wrong: A smaller tolerance cannot be demonstrated with less evidence.

D wrong: Tolerance is a direct driver of sample size.

Part 2, Set 1

Question: A key approval workflow was reconfigured on August 1; the audit period is January to December. Which testing approach is BEST?

A. Rely on a screenshot of the current configuration.

B. Test only items after the change.

C. Treat pre- and post-change periods as separate populations and test the control as configured in each.

D. Select a random sample across the year and ignore the change.

Q30 – Explanation

Correct: C. A control that changes during the period must be evaluated as it operated throughout the period.

A wrong: A current screenshot says nothing about how the control worked before the change.

B wrong: Testing only the later period leaves the earlier months uncovered.

D wrong: A single pooled sample mixes two different controls and weakens conclusions.

Part 2, Set 1

Question: The engagement overlaps with the external auditor's scope this year. What is the BEST approach?

A. Avoid contact so independence is preserved.

B. Let the external auditor set the engagement objectives.

C. Adopt the external auditor's risk assessment without evaluation.

D. Coordinate to understand their scope and timing to limit duplication, while evaluating any work relied upon.

Q31 – Explanation

Correct: D. Coordination reduces gaps and duplication but does not replace the internal auditor's own judgment.

A wrong: Coordination does not impair independence; isolation creates gaps and duplication.

B wrong: The engagement's objectives are determined by internal audit's own planning.

C wrong: Reliance requires evaluating competence, objectivity, and scope of that work.

Part 2, Set 1

Question: An outsourced call center's contract includes a right-to-audit clause. What is the BEST planning approach?

A. Audit only the internal vendor-management tracker.

B. Use the clause to agree scope with the vendor, consider subcontractors and confidentiality, and plan direct evidence rather than relying only on vendor-prepared material.

C. Exclude the vendor because it is an independent company.

D. Rely entirely on the vendor's self-assessment questionnaire.

Q32 – Explanation

Correct: B. Third-party risk remains the organization's, and contractual access should be used to obtain direct evidence.

A wrong: A tracker shows oversight activity but not how the service performs.

C wrong: Outsourcing transfers activity, not accountability for risk.

D wrong: Self-assessments are assertions and not evidence of operation.

Part 2, Set 1

Question: An auditor will extract sensitive customer data into an analytics tool. Which planning step is MOST appropriate?

A. Skip anonymization since auditors are trusted.

B. Plan extraction of only the data needed, with secure storage, approvals, and access limited to the team.

C. Upload the data to an external AI service to speed up analysis.

D. Copy the full population to a personal laptop for speed.

Q33 – Explanation

Correct: B. Audit work involves handling sensitive data, so it must follow data-minimization and security principles.

A wrong: Trust does not replace safeguards and minimization.

C wrong: Sending data to unapproved third parties breaches confidentiality obligations.

D wrong: Personal devices create security and confidentiality exposure.

Part 2, Set 1

Question: Internal policy allows a retention period shorter than a legal minimum. Which criterion should the auditor use?

A. The internal policy, because management approved it.

B. The legal minimum, treating noncompliance with law as a finding even if the policy was followed.

C. Whichever is less strict, to avoid disputes.

D. The average of the policy and the law.

Q34 – Explanation

Correct: B. Laws and regulations set the floor; policy cannot lawfully go below them.

A wrong: Management approval cannot override legal requirements.

C wrong: Choosing the less strict source would hide a compliance exposure.

D wrong: Averaging has no basis in either source.

Part 2, Set 1

Question: An actuarial specialist will support an engagement on reserves. Which statement about responsibility is MOST accurate?

A. The specialist's report can be adopted as the conclusion without further consideration.

B. Responsibility for the conclusion transfers to the specialist.

C. The auditor should evaluate the specialist's competence and objectivity, understand the assumptions and scope, and remain responsible for the engagement conclusion.

D. Evaluation of the specialist is needed only if problems arise.

Q35 – Explanation

Correct: C. Using a specialist does not transfer accountability for the conclusion.

A wrong: Adopting a report unexamined skips the auditor's own judgment.

B wrong: Accountability for the engagement conclusion stays with internal audit.

D wrong: Evaluation is done up front, since problems may not be visible later.

Part 2, Set 1

Question: The prior report for the area under review noted an overdue action plan to restrict privileged access. How should this be handled when planning?

A. Consider it in the risk assessment and scope, and test the current state of privileged access if it remains relevant.

B. Repeat the old finding without testing.

C. Exclude it because it has already been reported.

D. Assume it is resolved when management says so.

Q36 – Explanation

Correct: A. Known unresolved issues inform current risk and should be reflected in objectives and procedures.

B wrong: Repeating a finding without current evidence is not supportable.

C wrong: A reported issue can remain a live risk.

D wrong: Management's statement is not evidence the issue has been remediated.

Question: In an IaaS arrangement under the shared responsibility model, which control MOST likely remains the customer's responsibility?

A. Patching of the underlying hypervisor.

B. Physical security of the data center.

C. Power and cooling of the facility.

D. Configuring user access and patching the operating systems of the customer's virtual machines.

Q37 – Explanation

Correct: D. In IaaS, the customer manages its own operating systems, identities, and data configuration.

A wrong: The provider manages the virtualization layer in IaaS.

B wrong: Physical security is the provider's responsibility.

C wrong: Facilities are the provider's domain.

Part 2, Set 1

Question: The organization holds consigned stock at three third-party warehouses. How should this affect engagement planning on inventory?

A. Rely on the perpetual inventory records alone.

B. Accept an e-mail from the warehouse manager stating quantities.

C. Include those sites in scope and plan to observe counts or obtain direct confirmation from the warehouse operators.

D. Exclude them because the stock is held off-site.

Q38 – Explanation

Correct: C. Assets held by third parties still affect the organization's records and must be covered by planned evidence.

A wrong: Internal records alone cannot confirm physical existence.

B wrong: E-mailed statements are weak, unsolicited evidence.

D wrong: Off-site stock is still reported and still carries risk.

Question: Key financial-close calculations are built in unprotected spreadsheets. Which engagement objective is MOST appropriate?

A. Evaluate end-user computing controls such as access, version control, formula integrity, and reconciliation of inputs to source.

B. Confirm the preparer's statement that totals are correct.

C. Evaluate whether the spreadsheets use consistent fonts and layout.

D. Evaluate whether the spreadsheets are backed up to cloud storage.

Q39 – Explanation

Correct: A. Spreadsheet risk lies in unauthorized changes, formula errors, and unreliable inputs.

B wrong: A preparer's assurance is not independent evidence.

C wrong: Formatting is not a risk to the numbers.

D wrong: Backups protect availability, not accuracy.

Part 2, Set 1

Question: In a risk and control matrix used to build the work program, which linkage is ESSENTIAL?

A. Each test mapped to the auditor who performed it last year.

B. Each control mapped to the cost of testing it.

C. Each risk mapped to the person who identified it.

D. Each key risk mapped to the key control or controls that address it and to the test procedure for each control.

Q40 – Explanation

Correct: D. The matrix is useful only if it connects risks, controls, and procedures.

A wrong: Prior staffing does not show coverage of risk.

B wrong: Cost is a resourcing consideration, not a linkage that proves coverage.

C wrong: Who identified a risk does not show whether it is addressed.

Part 2, Set 1

Question: Which of the following is an example of ENGAGEMENT risk, as opposed to risk in the area under review?

A. An incomplete data extract leads the team to an incorrect conclusion.

B. The company misses a regulatory filing deadline.

C. A key supplier becomes insolvent.

D. The payroll team processes a duplicate payment.

Q41 – Explanation

Correct: A. Engagement risk is the risk that the audit work itself fails to meet its objectives or reaches a wrong conclusion.

B wrong: This is a compliance risk for the organization.

C wrong: This is a supply-chain risk to the organization.

D wrong: This is a process risk in the area under review.

Part 2, Set 1

Question: Three areas are in scope: Area X has high inherent risk and weak controls; Area Y has high inherent risk and strong, previously tested controls; Area Z has low inherent risk. How should resources be allocated?

A. The same effort as last year for each area.

B. Most to Y because it offers the most evidence to test.

C. Most to X, a moderate amount to Y to confirm key controls, and minimal to Z.

D. Equal effort to all three areas.

Q42 – Explanation

Correct: C. Effort should follow risk after considering the strength of controls.

A wrong: Prior-year effort does not reflect current risk.

B wrong: Strong controls reduce the need for extensive work rather than increase it.

D wrong: Equal effort ignores differences in risk.

Question: Planning concludes the control environment is strong. What is the effect on the engagement approach?

A. The extent of some testing may be reduced, but targeted procedures remain necessary, including for management override.

B. Transaction testing can be eliminated.

C. Sample sizes should be increased to match the quality of the environment.

D. Journal-entry testing can be excluded because override risk is nil.

Q43 – Explanation

Correct: A. A strong environment supports reliance but does not prevent specific errors or override.

B wrong: No amount of environment strength removes the need for evidence.

C wrong: Better environments justify less, not more, testing.

D wrong: Override risk is never eliminated by a strong environment.

Question: Which sequence of engagement planning activities is MOST logical?

A. Select samples, then define objectives and scope.

B. Outline the report, then define criteria and assess risks.

C. Understand the area, assess engagement risks, set objectives and scope, identify criteria, determine resources, and build the work program.

D. Build the work program, then assess risks, then set objectives.

Q44 – Explanation

Correct: C. Each step provides inputs to the next, with the work program following from risks, objectives, and scope.

A wrong: Samples depend on objectives and risks and cannot come first.

B wrong: A report outline cannot be set before there are objectives and evidence.

D wrong: A program built before risks and objectives has nothing to be based on.

Part 2, Set 1

Question: In planning a public-procurement compliance engagement, which analytic indicator BEST targets potential noncompliance?

A. Average days to pay vendors.

B. The number of active vendors.

C. Awards to vendors sharing addresses or bank details with employees, or repeated purchases just under the competitive-bid threshold.

D. Total spend by category.

Q45 – Explanation

Correct: C. Red flags such as related parties and threshold avoidance point directly to bypassed procurement rules.

A wrong: Payment speed is an efficiency measure.

B wrong: Vendor counts do not show noncompliance.

D wrong: Spend totals do not indicate whether rules were followed.

Question: During fieldwork, an auditor wants to drop three planned procedures that appear low-yield. What is the MOST appropriate action?

A. Drop them and move on.

B. Obtain supervisory approval and document the rationale and the effect on coverage of objectives.

C. Replace them without updating the work program.

D. Keep every procedure regardless of what has been learned.

Q46 – Explanation

Correct: B. Work programs may change as understanding improves, but changes are controlled and documented.

A wrong: Unapproved changes remove supervisory control over coverage.

C wrong: An outdated program no longer represents what was done.

D wrong: Rigid adherence ignores new information about risk.

Question: The IT team shares a penetration test report showing no critical findings. How should it be used in planning a cybersecurity engagement?

A. As one input, after evaluating its scope, date, tester independence and competence, and coverage.

B. Disregarded because IT arranged it.

C. As full assurance, removing cyber from the scope.

D. Accepted because the summary says "passed."

Q47 – Explanation

Correct: A. Others' work can inform planning, but reliance depends on whether it covers the relevant risk.

B wrong: Ignoring it wastes useful information that can be evaluated.

C wrong: A single test rarely covers governance, process, and all assets.

D wrong: A summary conclusion is not an evaluation of coverage.

Part 2, Set 1

Question: The team plans to reuse last year's work program for a process that was reorganized and moved to a new system. What is the BEST response?

A. Drop the engagement because the process is in flux.

B. Reuse it but add one extra procedure.

C. Update the risk assessment for the reorganization, new system, and staff turnover, and tailor the program.

D. Reuse it unchanged for comparability.

Q48 – Explanation

Correct: C. Significant change alters risk and the controls in operation, and the program has to follow.

A wrong: Change is a reason to review, not to avoid review.

B wrong: One added step does not respond to changes in risk.

D wrong: Comparability does not justify procedures that no longer fit.

Part 2, Set 1

Question: Before go-live of a new ERP module, a manager asks internal audit to "just confirm the controls are fine." What is the BEST first response?

A. Accept and decide later whether it is assurance.

B. Decline all involvement in projects before go-live.

C. Provide a clean confirmation since the manager asked for it.

D. Clarify whether the request is for assurance or advisory services and set objectives and scope accordingly, considering any effect on future objectivity.

Q49 – Explanation

Correct: D. The nature of the service determines objectives, independence considerations, and the form of communication.

A wrong: Deferring the decision leaves expectations and independence unmanaged.

B wrong: Advisory involvement before go-live can be valuable when scoped properly.

C wrong: A confirmation without work is an unsupported assurance.

Part 2, Set 1

Question: Which engagement objective is BEST written?

A. Evaluate whether controls over third-party access to the customer database prevent and detect unauthorized access during fiscal 2026.

B. Confirm management's assertion that vendors are secure.

C. Review third-party access.

D. Ensure that IT security is adequate.

Q50 – Explanation

Correct: A. A good objective is specific, tied to a risk, and states what will be concluded and over what period.

B wrong: It starts from management's assertion instead of evaluating the controls.

C wrong: It is too vague to guide scope or procedures.

D wrong: It is too broad and uses the word "ensure," which implies a guarantee.

Part 2, Set 1

Question: Which evidence is generally the MOST reliable for supporting the existence of customer receivables?

A. An e-mail from the accounts receivable manager.

B. A confirmation received directly by the auditor from the customer.

C. An aged trial balance generated by the accounting system.

D. A verbal explanation from the credit manager.

Q51 – Explanation

Correct: B. Evidence obtained directly from an independent external source is more reliable than internally generated or verbal evidence.

A wrong: It is internal, written by an interested party, and uncorroborated.

C wrong: It is internal and depends on the controls over the system.

D wrong: Verbal statements are the least reliable form.

Part 2, Set 1

Question: The auditor suspects "ghost employees." Which procedure BEST addresses this?

A. Recalculate gross pay for a sample of employees.

B. Select entries from the payroll register and trace them to HR records, approvals, and evidence of actual employment or payment.

C. Compare total payroll cost to budget.

D. Select from the active HR list and trace each person to the payroll register.

Q52 – Explanation

Correct: B. Existence of fictitious payees is tested by working from what was paid back to supporting records.

A wrong: Recalculation tests accuracy, not whether the person exists.

C wrong: Budget comparison cannot reveal individual fictitious entries.

D wrong: That direction tests completeness, such as unpaid employees, not fictitious payees.

Question: The auditor wants evidence that all fixed asset additions have been recorded. Which approach is BEST?

A. Select from the asset register and trace to invoices.

B. Ask the controller whether all additions were recorded.

C. Compare depreciation expense to the budget.

D. Select from receiving reports and vendor invoices for capital items and trace them to the asset register.

Q53 – Explanation

Correct: D. Completeness is tested by starting from independent source documents and tracing forward to the records.

A wrong: That tests existence of recorded items, not unrecorded ones.

B wrong: Inquiry alone is weak evidence.

C wrong: Depreciation versus budget is only a general analytical indicator.

Question: Which procedure is MOST effective in identifying unrecorded liabilities at year-end?

A. Confirm balances with the largest suppliers only.

B. Compare accounts payable to last year's balance.

C. Examine disbursements and receiving reports after year-end and trace those relating to prior-period goods or services to recorded payables.

D. Vouch recorded payables to supporting invoices.

Q54 – Explanation

Correct: C. A search for unrecorded items works from subsequent events back to the period under review.

A wrong: Confirmations of large suppliers miss unrecorded amounts, including small suppliers.

B wrong: A prior-year comparison is too coarse to reveal omissions.

D wrong: Vouching tests items already recorded and cannot find omissions.

Part 2, Set 1

Question: A customer does not respond to a receivable confirmation request. Which alternative procedure is MOST appropriate?

A. Accept the sales manager's assurance that the customer is reliable.

B. Examine subsequent cash receipts and shipping or service documents supporting the sale.

C. Treat non-response as confirmation of the balance.

D. Remove the item from the sample.

Q55 – Explanation

Correct: B. Alternatives should provide evidence that the receivable existed and was valid.

A wrong: An assurance from a party with an interest is weak.

C wrong: Silence is not evidence of agreement.

D wrong: Dropping non-responses biases the sample toward easy items.

Part 2, Set 1

Question: An automated three-way match has a 2% price tolerance. Which test BEST shows it is working?

A. Check that the match report was generated on schedule.

B. Review the policy that describes the tolerance.

C. Submit or observe test transactions above and below the tolerance, or inspect configuration and its change history, together with ITGC evidence.

D. Ask the AP manager whether exceptions occur.

Q56 – Explanation

Correct: C. A configured control is tested by seeing how the system treats conditions it should accept and reject.

A wrong: A report running on time does not show it applies the tolerance.

B wrong: A policy shows intent, not that the system enforces it.

D wrong: Inquiry offers little evidence on system behavior.

Part 2, Set 1

Question: Which procedure BEST tests segregation of duties in an ERP system?

A. Review the organization chart.

B. Ask supervisors whether staff stay within their duties.

C. Observe a single transaction from start to finish.

D. Obtain an extract of roles and access directly from the system, compare it to a conflict matrix, and check whether conflicts were used in transactions.

Q57 – Explanation

Correct: D. System access determines what people can actually do, regardless of titles.

A wrong: An org chart shows reporting lines, not system access.

B wrong: Supervisors' views do not reveal technical access rights.

C wrong: One observation cannot show what access exists across users.

Question: To test whether terminated employees retain system access, which procedure is BEST?

A. Test access for employees currently on the HR active list.

B. Compare a termination list from HR with a system-generated list of active accounts and review activity after termination dates.

C. Ask IT whether access is removed promptly.

D. Review the policy requiring prompt removal.

Q58 – Explanation

Correct: B. The control is tested by comparing independent sources and looking for use after separation.

A wrong: That tests the wrong population.

C wrong: Inquiry alone is not sufficient evidence.

D wrong: The policy shows design, not operation.

Part 2, Set 1

Question: Which journal-entry characteristic MOST strongly indicates possible management override?

A. Routine invoice entries posted by accounts payable clerks.

B. Entries with sequential numbers in a standard format.

C. Manual entries posted by a senior finance executive after period end to revenue and reserve accounts with no description.

D. Recurring automated depreciation entries.

Q59 – Explanation

Correct: C. Override typically involves unusual users, timing, accounts, and weak support.

A wrong: Routine entries by process staff are expected.

B wrong: Sequential numbering is normal and not a risk indicator.

D wrong: Automated recurring entries are normal and rule-based.

Question: To test a bank reconciliation control, which procedure is BEST?

A. Reperform the reconciliation from bank and ledger data, and investigate aging reconciling items and review evidence.

B. Confirm that the reconciliation policy exists.

C. Compare the cash balance to last year.

D. Ask the preparer whether differences are resolved.

Q60 – Explanation

Correct: A. Reperformance shows whether the reconciliation works and whether differences are investigated.

B wrong: A policy review tests design only.

C wrong: A year-over-year balance comparison does not test the control.

D wrong: The preparer's statement is not independent evidence.

Question: Which procedure BEST tests the completeness of the IT change-management log?

A. Ask the IT director whether all changes are logged.

B. Review the change-management policy.

C. Count the tickets in the ticketing system.

D. Compare changes identified from independent source such as deployment tools or version control to approved change tickets.

Q61 – Explanation

Correct: D. To find unlogged changes, the population must come from a source independent of the log being tested.

A wrong: Inquiry alone cannot detect unlogged changes.

B wrong: A policy shows design, not whether changes bypassed the process.

C wrong: Counting tickets assumes the ticket population is complete.

Part 2, Set 1

Question: Before running analytics on data extracted from the ERP, what should the auditor do?

A. Ask the process owner to confirm the data is correct.

B. Assume system-generated data is reliable.

C. Run the analysis first and validate only if anomalies appear.

D. Validate completeness and accuracy of the extract, such as reconciling record counts and control totals to source.

Q62 – Explanation

Correct: D. Conclusions from analytics depend on the data they are based on.

A wrong: A process owner's statement is not independent validation.

B wrong: System generation does not guarantee completeness of an extract.

C wrong: Validating after the fact risks wrong conclusions in the meantime.

Part 2, Set 1

Question: Population for a test of new-vendor approvals is a log kept by the process owner in a spreadsheet. What should the auditor do before sampling?

A. Reconcile the log to an independent source, such as the vendor master-file creation history.

B. Sample from the log since it is the only list available.

C. Ask the owner to certify the log is complete.

D. Increase the sample size to compensate for uncertainty.

Q63 – Explanation

Correct: A. A sample is only as good as the population it is drawn from.

B wrong: If the log omits vendors, the sample cannot detect it.

C wrong: A certification from the party being tested is not independent.

D wrong: A bigger sample from an incomplete list is still incomplete.

Part 2, Set 1

Question: Which procedure BEST tests the integrity of a spreadsheet used in a critical financial estimate?

A. Check the last-modified date.

B. Independently recalculate results and review formula protection, version history, and reconciliation of inputs to source.

C. Obtain the preparer's statement that the formulas are correct.

D. Re-add the totals only.

Q64 – Explanation

Correct: B. Integrity depends on formulas, inputs, and change control, not just arithmetic.

A wrong: A date says nothing about correctness.

C wrong: A statement from the preparer is not independent evidence.

D wrong: Re-adding totals does not test formulas or inputs.

Part 2, Set 1

Question: Which dataset is LEAST suitable for a Benford's Law test?

A. Transaction amounts across many accounts.

B. Employee numbers assigned sequentially.

C. Expense claim amounts.

D. Vendor invoice amounts across many suppliers.

Q65 – Explanation

Correct: B. Benford's Law applies to naturally occurring numbers across several orders of magnitude, not assigned sequences.

A wrong: Transaction amounts across accounts are typically suitable.

C wrong: Expense amounts commonly fit the pattern.

D wrong: Invoice amounts are a typical suitable dataset.

Part 2, Set 1

Question: An anomaly-detection model flags 2,000 payments for review. What is the BEST way to proceed?

A. Use risk scoring to prioritize, investigate a defined set, document model logic and thresholds, and treat flags as leads, not findings.

B. Review only the five highest-scoring items.

C. Discard flags that the process owner says are normal.

D. Treat each flagged payment as a finding.

Q66 – Explanation

Correct: A. Flags indicate where to look, and conclusions require corroborating evidence.

B wrong: Five items are too few to evaluate the model or the population.

C wrong: Dismissal based on owner statements removes independence.

D wrong: A flag alone is not evidence of a control failure or error.

Question: An auditor wants to use a generative AI tool to summarize interviews and draft test conclusions. Which approach is BEST?

A. Upload workpapers to a public tool to save time.

B. Validate outputs against source evidence, protect confidential data, and document the use and review.

C. Treat the tool's output as audit evidence.

D. Use AI output in place of supervisory review.

Q67 – Explanation

Correct: B. AI can support the work but cannot replace evidence, confidentiality, or review.

A wrong: Public tools can expose confidential engagement information.

C wrong: Output is a derived product, not evidence.

D wrong: Supervisory review is still required for the work.

Part 2, Set 1

Question: An embedded continuous-monitoring routine alerts on high-risk payments. What is the MOST important consideration before relying on it?

A. Confirm the dashboard looks professional.

B. Validate its logic, thresholds, data coverage, and the controls over changes to the routine.

C. Confirm the vendor has other clients.

D. Confirm alerts are sent by e-mail.

Q68 – Explanation

Correct: B. Automated monitoring misses risks when logic or coverage is flawed, so it is validated like any control.

A wrong: Presentation does not show effectiveness.

C wrong: Other clients do not show the logic works here.

D wrong: The delivery channel is irrelevant to detection quality.

Part 2, Set 1

Question: A RACI chart for an approval step shows two roles marked "Accountable." What does this MOST likely indicate?

A. Appropriate segregation of duties.

B. Strong redundancy that improves control.

C. A documentation error with no control effect.

D. Unclear accountability, a potential control-design weakness.

Q69 – Explanation

Correct: D. A single point of accountability is expected, and two can mean each assumes the other will act.

A wrong: Segregation is about separating incompatible duties, not duplicating accountability.

B wrong: Shared accountability often leads to gaps rather than redundancy.

C wrong: It can reflect real confusion about who owns the outcome.

Question: The auditor needs to find nonstandard termination clauses across 3,000 PDF contracts. Which technique is MOST suitable?

A. Regression on invoice amounts.

B. Benford's Law on contract values.

C. Text analytics on the unstructured contract data, followed by review of flagged documents.

D. Stratified sampling on contract value only.

Q70 – Explanation

Correct: C. Clause content is unstructured text and requires text-based methods.

A wrong: Invoice regression does not examine contract text.

B wrong: Numeric digit patterns do not reveal clause wording.

D wrong: Value-based sampling would miss clause variations in lower-value contracts.

Part 2, Set 1

Question: A team builds a model estimating the likelihood that new vendors will submit duplicate invoices. This is an example of which analytics type?

A. Diagnostic analytics.

B. Predictive analytics.

C. Prescriptive analytics.

D. Descriptive analytics.

Q71 – Explanation

Correct: B. Predictive analytics estimates what is likely to happen.

A wrong: Diagnostic analytics explains why something happened.

C wrong: Prescriptive analytics recommends actions to take.

D wrong: Descriptive analytics summarizes what happened.

Part 2, Set 1

Question: Gross margin fell 4 points. Which analytical review approach is BEST?

A. Build an independent expectation using drivers such as volume, price, and mix, compare it with results, and investigate differences above a defined threshold.

B. Accept management's explanation as sufficient evidence.

C. Compare with last year only.

D. Ignore variances below last year's threshold.

Q72 – Explanation

Correct: A. Analytics work when the expectation is independent and variances are investigated against corroborating evidence.

B wrong: An explanation is a lead that needs corroboration.

C wrong: A prior-year comparison does not reflect current drivers.

D wrong: Thresholds should reflect the current risk and tolerable levels, not old ones.

Part 2, Set 1

Question: Which statement is a ROOT CAUSE in a finding about unauthorized overrides?

A. Overrides occurred in 18% of transactions.

B. The organization risks regulatory fines.

C. The policy requires approval for overrides.

D. Overrides were possible because the system had no mandatory reason code and no one reviewed override reports.

Q73 – Explanation

Correct: D. A root cause explains why the condition occurred.

A wrong: This describes the condition.

B wrong: This describes the effect.

C wrong: This states the criterion.

Part 2, Set 1

Question: Which approach to evaluating the significance of a finding is BEST?

A. Consider impact, likelihood, and pervasiveness, along with qualitative factors such as legal exposure or fraud indicators.

B. Rate significance by dollar amount only.

C. Rate by the number of occurrences.

D. Rate by management's willingness to fix it.

Q74 – Explanation

Correct: A. Significance reflects both quantitative and qualitative factors.

B wrong: Small amounts can still indicate serious failures.

C wrong: Frequency alone ignores impact.

D wrong: Willingness to fix does not change how serious the issue is.

Part 2, Set 1

Question: A judgmental sample of the 25 largest items showed no exceptions. Which conclusion is supportable?

A. The population error rate is below 4%.

B. The result is supported at a 95% confidence level.

C. The control is effective for all items.

D. Only that those 25 items had no exceptions; the result cannot be projected to the population.

Q75 – Explanation

Correct: D. Judgmental samples describe the items selected only.

A wrong: No statistical basis exists for the rate.

B wrong: Confidence levels require a statistical design.

C wrong: Effectiveness across the population is not shown by a biased selection.

Part 2, Set 1

Question: Which description matches “sufficient” information under the Standards?

A. Information consistent with the engagement’s objectives and scope.

B. Information that is factual, adequate, and convincing so a prudent, informed person would reach the same conclusions.

C. Information that helps the organization meet its goals.

D. Information that is the best attainable using appropriate engagement techniques.

Q76 – Explanation

Correct: B. Sufficiency concerns whether the information is enough to be convincing.

A wrong: This describes relevance.

C wrong: This describes usefulness.

D wrong: This describes reliability.

Part 2, Set 1

Question: An auditor leaving the organization wants to keep copies of workpapers for personal reference after removing client names. What is the correct response?

A. Not permitted; workpapers belong to the organization and access and retention are governed by policy and law.

B. Permitted for the auditor's own work only.

C. Permitted if the names are removed.

D. Permitted for 12 months after departure.

Q77 – Explanation

Correct: A. Engagement records are organizational property whose access is controlled.

B wrong: Ownership does not depend on who prepared the file.

C wrong: Removing names does not change ownership or confidentiality.

D wrong: No time-limited personal right exists.

Part 2, Set 1

Question: While testing, an auditor finds evidence that the CFO directed a reclassification to meet a loan covenant. What is the MOST appropriate action?

A. Finish the engagement and mention it in the final report.

B. Raise skepticism, expand testing as needed, and promptly inform the CAE under the fraud-escalation protocol, without alerting implicated management.

C. Discuss it with the CFO first to get an explanation.

D. Narrow the scope to avoid the area.

Q78 – Explanation

Correct: B. Possible fraud indicators involving management require careful escalation, not discussion with the implicated party.

A wrong: Delay may harm the organization.

C wrong: Tipping off the CFO risks evidence loss and interference.

D wrong: Narrowing scope leaves the issue unexamined.

Part 2, Set 1

Question: An auditor requests system logs and learns they were deleted the day before. What is the BEST response?

A. Confront the staff aggressively.

B. Ask staff to recreate the logs from memory.

C. Document the circumstances, preserve remaining evidence, and notify the CAE so the matter can be escalated to appropriate parties such as legal.

D. Accept the explanation and continue as planned.

Q79 – Explanation

Correct: C. Loss of evidence may indicate wrongdoing or a legal issue and requires preservation and escalation.

A wrong: Confrontation can compromise evidence and any later inquiry.

B wrong: Recreated records are not reliable evidence.

D wrong: Continuing without escalation ignores potential misconduct.

Part 2, Set 1

Question: The process owner says reviews happen monthly, but reviewer e-mails show quarterly reviews. What is the BEST action?

A. Obtain system timestamps or other independent evidence, reperform where possible, and document how the conflict was resolved.

B. Report both versions without further work.

C. Accept the owner's statement since it is the more recent.

D. Accept the e-mails and ignore the statement.

Q80 – Explanation

Correct: A. Conflicting evidence must be resolved through more reliable sources.

B wrong: Presenting unresolved conflict leaves the issue unevaluated.

C wrong: Recency does not make a statement more reliable.

D wrong: One source cannot be chosen without testing.

Part 2, Set 1

Question: A control deficiency is found, but management points to a compensating control. What should the auditor do?

A. Ignore the deficiency because compensation exists.

B. Test whether the compensating control is precise enough and operating effectively, then evaluate the remaining deficiency.

C. Report the deficiency without considering the compensating control.

D. Assume the compensating control works.

Q81 – Explanation

Correct: B. A compensating control reduces the risk only if it actually works.

A wrong: The deficiency may remain significant if the compensating control is weak.

C wrong: Omitting it may overstate the exposure.

D wrong: Management's claim needs evidence.

Part 2, Set 1

Question: An engagement tests compliance with a debt covenant requiring interest cover of at least 3.0. Which evidence is MOST appropriate?

A. Recompute the ratio from general ledger data using the definitions in the loan agreement.

B. Review management's compliance certificate.

C. Confirm verbally with the treasurer.

D. Compare the ratio to industry averages.

Q82 – Explanation

Correct: A. Compliance depends on the agreement's definitions, so recomputation from source is strongest.

B wrong: The certificate is management's assertion and may use different definitions.

C wrong: A verbal confirmation is weak evidence.

D wrong: Industry averages do not show compliance with the agreement.

Question: Analytics show 1.2% of invoices were paid without a purchase order. What is the BEST next step?

A. Increase the audit budget.

B. Conclude it is acceptable because it is under 5%.

C. Treat all as fraud.

D. Categorize the exceptions by cause and test whether each was authorized.

Q83 – Explanation

Correct: D. Understanding why exceptions arise and whether they were approved determines significance.

A wrong: Budget changes do not resolve the question.

B wrong: Arbitrary thresholds do not show exceptions were authorized.

C wrong: Exceptions may be legitimate, such as emergency purchases.

Part 2, Set 1

Question: A vulnerability scan lists 400 high-severity vulnerabilities. How should the auditor evaluate significance?

A. Count them and report the total as the finding.

B. Ignore them because scans have false positives.

C. Consider asset criticality, exposure, exploitability, and compensating controls.

D. Consider only those on non-production servers.

Q84 – Explanation

Correct: C. Significance depends on context rather than raw counts.

A wrong: A count does not show which are material.

B wrong: False positives are filtered, not ignored.

D wrong: Non-production systems are not the main concern.

Part 2, Set 1

Question: To test customer data deletion under a retention schedule, which procedure is BEST?

A. Ask the privacy officer whether deletion occurs.

B. Review a sample of records still within retention.

C. Select records past their retention period from the system and verify deletion, including backups and third-party copies where applicable.

D. Confirm the retention schedule exists.

Q85 – Explanation

Correct: C. Testing deletion requires looking at records that should no longer exist.

A wrong: Inquiry is weak evidence.

B wrong: Records within retention cannot show failure to delete.

D wrong: A schedule shows design only.

Question: Which evidence BEST shows that backups are restorable?

A. Results of an actual restoration test, with restored data compared with source for integrity.

B. The backup schedule.

C. Backup job completion logs.

D. A contract with an offsite storage vendor.

Q86 – Explanation

Correct: A. Only an actual restoration demonstrates that data can be recovered.

B wrong: A schedule shows intent only.

C wrong: Completion means the job ran, not that data can be restored.

D wrong: A contract shows storage, not recoverability.

Part 2, Set 1

Question: What is the main purpose of a walkthrough?

A. To confirm understanding of how a process and its controls work by following a transaction from initiation to recording.

B. To conclude on operating effectiveness of all controls.

C. To satisfy the process owner's request.

D. To replace sampling.

Q87 – Explanation

Correct: A. A walkthrough confirms design and understanding and informs later testing.

B wrong: A single transaction cannot support such a conclusion.

C wrong: Its purpose is audit understanding, not owner satisfaction.

D wrong: Walkthroughs complement rather than substitute for testing.

Part 2, Set 1

Question: ITGC testing shows user access management is ineffective. What is the effect on the engagement?

A. Reliance on automated controls and system reports is reduced, so more direct testing of the data is needed.

B. It can be dismissed as outside the scope.

C. No effect if application controls passed a one-time test.

D. It affects only the IT department.

Q88 – Explanation

Correct: A. Weak access controls undermine the reliability of what the systems produce.

B wrong: ITGC are a foundation for reliance on system-dependent evidence.

C wrong: Controls could have been changed after the test.

D wrong: System-dependent processes across the organization are affected.

Part 2, Set 1

Question: To test revenue cutoff, which approach is BEST?

A. Select invoices from the middle of the year.

B. Compare revenue to budget.

C. Select shipments dated shortly before and after period end and trace them to invoices and the period recorded.

D. Review the revenue policy.

Q89 – Explanation

Correct: C. Cutoff errors occur around period end, so testing focuses there.

A wrong: Mid-year items do not test period-end timing.

B wrong: Budget comparison is not a cutoff test.

D wrong: The policy shows design, not timing in practice.

Part 2, Set 1

Question: At an inventory count, the auditor selects items from the perpetual records and locates them on the floor. What does this test?

A. Existence of recorded inventory.

B. Completeness of recorded inventory.

C. Valuation of inventory.

D. Rights and obligations.

Q90 – Explanation

Correct: A. Records to floor tests whether recorded items exist; floor to records tests completeness.

B wrong: Completeness is tested by selecting items on the floor and tracing them to records.

C wrong: Valuation concerns the amounts used, not presence.

D wrong: Rights concern ownership, not physical presence.

Part 2, Set 1

Question: A workpaper file shows reviewer sign-offs all dated on one day three weeks after fieldwork ended, with no review notes. What is the MOST supportable conclusion?

A. The file does not show supervision during the engagement, which should be ongoing so issues are corrected in time.

B. Late review is acceptable for low-risk engagements.

C. Review notes are optional if sign-offs exist.

D. Supervision is adequate because all sign-offs are present.

Q91 – Explanation

Correct: A. Supervision should occur throughout the engagement and be evidenced.

B wrong: Risk affects depth of review, not whether it happens during the work.

C wrong: Evidence of review quality is expected.

D wrong: Sign-offs without timing or notes do not show real review.

Question: A reviewer finds a conclusion in a draft workpaper that the evidence does not support. What is the MOST appropriate action?

A. Approve it and note a follow-up for next year.

B. Leave it as is since the auditor is experienced.

C. Delete the conclusion silently.

D. Return it for more evidence or a revised conclusion and document the resolution.

Q92 – Explanation

Correct: D. Conclusions must be supported by evidence, and the review resolution must be evident.

A wrong: Deferring the issue allows unsupported conclusions to stand.

B wrong: Experience does not replace evidence.

C wrong: Silent deletion hides a quality problem.

Part 2, Set 1

Question: A senior manager asks an auditor to remove an unfavorable finding from a workpaper. What should the auditor do?

A. Delete the entire workpaper.

B. Remove it and keep a private copy.

C. Remove it if the manager provides a reason.

D. Decline, document the request, and report it through the supervisor, CAE, or appropriate channel.

Q93 – Explanation

Correct: D. Altering results at a manager's request compromises integrity and objectivity.

A wrong: Deleting the workpaper destroys evidence.

B wrong: A private copy does not cure an improper alteration.

C wrong: A reason does not justify altering evidence-based results.

Part 2, Set 1

Question: An auditor is asked to sign off a workpaper prepared by a colleague without having reviewed it. What is the BEST response?

A. Decline until a proper review is done, and document the reason.

B. Sign to keep the engagement on schedule.

C. Sign and add a note saying it was not reviewed.

D. Alter the workpaper to match the auditor's own view.

Q94 – Explanation

Correct: A. A sign-off represents that work has been reviewed.

B wrong: Signing without review misrepresents the supervision performed.

C wrong: A caveat does not make a sign-off truthful.

D wrong: Altering another person's work is improper.

Part 2, Set 1

Question: After an engagement, how should the supervisor BEST evaluate an auditor's performance?

A. Base it on hours charged.

B. Base it only on the client's satisfaction survey.

C. Wait for the annual appraisal.

D. Give timely feedback against defined competencies and engagement quality criteria, and document it.

Q95 – Explanation

Correct: D. Evaluation supports improvement and quality through timely, criteria-based feedback.

A wrong: Hours do not measure quality.

B wrong: Client satisfaction does not measure audit quality or independence.

C wrong: Waiting delays learning and correction.

Part 2, Set 1

Question: During fieldwork the auditor finds a significant control deficiency. When should it be communicated?

A. Informally to junior staff of the auditee.

B. Promptly to the supervisor and appropriate management, rather than waiting for the final report.

C. Only in the final report.

D. At the closing meeting.

Q96 – Explanation

Correct: B. Significant matters should be communicated in time for management to respond and for supervisors to adjust the work.

A wrong: Junior staff may lack the authority to act.

C wrong: The final report is too late for matters needing quick action.

D wrong: Waiting until the close delays corrective action.

Part 2, Set 1

Question: A draft observation uses accusatory language and omits management's relevant explanation. Which communication quality criteria are MOST affected?

A. Constructive and concise.

B. Concise and timely.

C. Clear and accurate.

D. Objective and complete.

Q97 – Explanation

Correct: D. Accusatory wording undermines objectivity and omitting relevant explanations affects completeness.

A wrong: Concision is not the problem here.

B wrong: Neither concision nor timeliness is the main issue.

C wrong: Clarity and accuracy may be intact, while fairness is not.

Part 2, Set 1

Question: The engagement client has delayed providing data for three weeks. What is the BEST action?

A. Conclude based on available data without stating the limitation.

B. Wait indefinitely.

C. Contact the board directly, bypassing the CAE.

D. Escalate through the supervisor according to the escalation protocol, and document the effect on schedule and scope.

Q98 – Explanation

Correct: D. Delays that affect the engagement need escalation and documentation.

A wrong: A conclusion that hides a limitation is misleading.

B wrong: Waiting allows the delay to threaten the engagement.

C wrong: Escalation follows the CAE and agreed protocol.

Part 2, Set 1

Question: Fieldwork finds a critical, unpatched, internet-facing server. How should this be communicated?

A. On a shared portal accessible to all auditees.

B. In the weekly status e-mail to all stakeholders.

C. In the final report only.

D. Immediately by a secure channel to IT security leadership with limited distribution, and follow up in writing.

Q99 – Explanation

Correct: D. Sensitive, urgent matters need prompt, controlled communication.

A wrong: A widely accessible location exposes sensitive details.

B wrong: Broad distribution of vulnerability details creates additional risk.

C wrong: Waiting for the final report is too late.

Question: At the closing meeting, the process owner disputes a factual statement in a draft observation. What is the BEST approach?

A. Escalate the dispute to the board immediately.

B. Evaluate any new evidence, revise if warranted, and document the resolution; retain the observation if the evidence supports it.

C. Refuse to consider any additional evidence.

D. Delete the observation to preserve the relationship.

Q100 – Explanation

Correct: B. Facts should be confirmed objectively, and observations stand or change on evidence.

A wrong: Escalation is premature before the evidence is evaluated.

C wrong: Ignoring evidence undermines accuracy and fairness.

D wrong: Relationships should not drive changes to evidence-based findings.

Part 2, Set 1

Answer key

1:C 2:A 3:D 4:C 5:C 6:D 7:B 8:D 9:B 10:B 11:C 12:B 13:A 14:D 15:A 16:C
17:D 18:B 19:C 20:C 21:B 22:B 23:D 24:A 25:A

26:C 27:C 28:D 29:C 30:C 31:D 32:B 33:B 34:B 35:C 36:A 37:D 38:C 39:A
40:D 41:A 42:C 43:A 44:C 45:C 46:B 47:A 48:C 49:D 50:A

51:B 52:B 53:D 54:C 55:B 56:C 57:D 58:B 59:C 60:A 61:D 62:D 63:A 64:B
65:B 66:A 67:B 68:B 69:D 70:C 71:B 72:A 73:D 74:A 75:D

76:B 77:A 78:B 79:C 80:A 81:B 82:A 83:D 84:C 85:C 86:A 87:A 88:A 89:C
90:A 91:A 92:D 93:D 94:A 95:D 96:B 97:D 98:D 99:D 100:B